FDI approval). Four, how many conditions are permissions made subject to?

There are almost no investment activities under the prohibited category now. Section 5.1 of the FDI Master Circular prohibits only speculative businesses like lottery, gambling and betting; weaker financial vehicles like chit funds and ‘Nidhi’ companies; speculative real-estate activities like trading in Transferable Development Rights (TDRs) and ‘real-estate business’ excluding the development of townships, construction of residential/commercial premises, roads or bridges and REITs; products injurious to human health like manufacturing of cigars, cheroots, cigarillos and cigarettes; tobacco or tobacco substitutes; and specified sensitive sectors like atomic energy and certain railway operations. The cobwebs of policy prohibition for the real-estate business, railways and atomic energy should be cleared up as there is no real justification to keep these sectors outside the reach of foreign investment.

There is a system of sectoral cap in the country. All kinds of foreign investments, whether direct, portfolio or in some other permissible manner, are pooled together for the purpose of sectoral cap. The government liberalized rules relating to the operation of sectoral cap in 2019–20. Earlier, companies had the option to decide the permissible FDI subject to the ceiling of the sectoral cap. After the amendment, the sectoral cap is the default applicable FDI limit. If a company decides to fix FDI limit at a level lower than the sectoral cap, it can do so by passing an appropriate resolution to that effect.

There are subsectors of many sectors that still remain out of bounds for FDI. For example, in agriculture, FDI is not permitted in case of field crops. It is only permissible in specified high-technology areas like floriculture, horticulture, cultivation of vegetables and mushrooms under controlled conditions, production of seed and planting material. In plantations, it is only permissible for tea, coffee, rubber, cardamom, palm oil and olive oil.